These are the functional definitions of money because they define money in terms of the functions it performs.Some economists define money in legal terms saying that "anything which state declares as money is money". Such money possesses general acceptability and has the legal power to discharge debts. But people may not accept legal money by refusing to sell goods and services against the payments of legal tender money.On the otherhand, they may accept some other things as money winch are not legally defined as money in discharge of debts. This may circulate freely.

Functions of Money

Functions of money are classified into Primary or Main functions, Secondary functions and Contingent functions.

Primary or main functions

The important functions of money performed in every economy are classified under main functions:-

i) Medium of exchange or means of payment

Money is used to buy the goods and services.

ii) Measure of value

The values of all the goods and services are expressed in terms of money. It is easier to determine the rate of exchange between various type of goods and services.

Secondary functions

The three important secondary functions are

i) Standard of deferred payment

Money helps the future payments too. A borrower borrowing money today places himself under an obligation to pay a specified sum of money on some specified future date.

ii) Store of value or store of purchasing power

Savings were discouraged under barter system as some commodities are perishable. The introduction of money has helped to save it for future as it is not perishable.

iii) Transfer of value or transfer of purchasing power

Money makes the exchange of goods to distant places as well as abroad possible. It was therefore felt necessary to transfer purchasing power from one place to another.

Contingent functions

1. Basis of credit
2. Increase productivity of capital
3. Measurement and Distribution of National Income

Hots

If there is no invention of money - imagine.



Inflation and Deflation

Inflation refers to the prices are rising, the value of money will fall.

Deflation refers to the prices are falling, the value of money will rise.

Savings in Banks and Investments

Savings



Savings are defined as the part of consumer's disposable income which is not used for current consumption, rather kept aside for future use. There are several ways through which a person can save money. The banking facilitates saving money through various forms of accounts.

UNIT 1_Economics.indd 232 12/3/2022 5:57:45 PM